

Question:

A distributor agrees to sell 100 tubes of growth hormone to a medical treatment center in exchange for \$30,000. The contract has many clauses, including one that prohibits generally the assignment of the contract or any of its terms. The distributor assigns its right to receive the funds anyway. Will a court enforce the bar against assignment under these circumstances?

Answer Choices:

- A. No, a bar of assignment does not apply to the right to receive the funds unless specifically stated.
- B. Yes, unless the contract explicitly states that the bar of assignment does not apply to the right to receive funds.
- C. No, a bar of assignment can only be enforced if it is notarized and legally binding.
- D. Yes, a bar against the right to receive proceeds is a favored restriction unless otherwise stated.
- E. Yes, a contractual provision prohibiting assignments is enforceable in all respects.
- F. Yes, a bar of assignment applies to all aspects of the contract, including the right to receive funds.
- G. No, a bar of assignment is an unconstitutional deprivation of due process.
- H. No, a bar of assignment is unenforceable if it inhibits the completion of the contract.
- I. No, a court will not enforce the bar against assignment as it infringes upon the distributor's right to do business.
- J. Yes, a contractual provision prohibiting assignments is enforceable unless it contradicts federal law.

Reasoning + Answer:

</tool_call> reasoning process here

A contractual provision that prohibits assignment generally is typically enforceable, but courts often examine whether the restriction is reasonable and whether it prevents the performance of the contract. In particular, rights to receive payment (such as the right to receive \$30,000) are often considered a "right to receive money" that is closely tied to the performance of the contract. However, in common law, courts have held that a general prohibition against assignment does not necessarily extend to the right to receive money, especially if that right is not explicitly barred. This is because the right to receive funds is not a "contractual interest" that can be assigned in the same way as the right to receive goods or services. The right to receive payment is considered a "right to receive performance" and is often deemed a necessary part of the contract's performance, and thus, may be assignable.

Moreover, in many jurisdictions, a restriction on assignment that prevents the assignee from receiving funds is considered too broad and potentially unenforceable because it prevents the practical performance of the contract. The courts have held that such restrictions are unenforceable if they inhibit the completion or performance of the contract.

Therefore, even if the contract contains a general bar on assignment, a court will not enforce a bar that prevents the distributor from receiving payment, because that would prevent the actual performance of the contract and would be contrary to the purpose of the contract.

Thus, the correct answer is that the bar against assignment will not be enforced in such circumstances.

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